



THE QUESTIONS YOU SHOULD BE ASKING.

Twenty questions a careful investor asks, answered with the same audited numbers as the memorandum. Nothing here is spin — if an answer has a weakness, it's stated.

[SECTION 01 · MARKET & RATES]

Q01 / WHAT IF B200 RENTAL RATES FALL FASTER THAN YOUR 10%/YEAR ASSUMPTION?

Then returns compress along a curve you can inspect in the model workbook — it's a live lever, not a footnote. At 15%/yr decay the base case still returns capital over the hardware's life; the real protection is that **Year 1 is fully contracted at a fixed rate**, so decay only touches renewals.

Historical context: H100 rates fell ~35% over two years while operators who bought early still cleared strong margins — entry price matters more than the decay slope, and we're entering at a \$66K/GPU all-in build cost against silicon renting for ~\$39K/GPU/year contracted.

Q02 / WHY WOULD A TENANT PAY \$4.50/HR WHEN SPHERON LISTS \$3.70 ON-DEMAND?

Different products. The sub-\$4 listings are shared-infrastructure on-demand capacity — preemptible in practice, variable in performance, no dedicated fabric. Our anchors get **5 dedicated B200s on a private InfiniBand fabric, guaranteed 24/7 for a year**, with a named engineer and no noisy neighbors. The comparable products — reserved dedicated capacity at Lambda, CoreWeave-class providers — run \$4.50–6.00+. We're the low end of the right comparison, not the high end of the wrong one.

Q03 / WHAT HAPPENS WHEN B300 AND NEXT-GEN CHIPS SHIP?

B200 shifts down-market and keeps earning — the same pattern as every NVIDIA generation. V100s from 2017 still rent today (~\$1.29/hr median). The model already prices this: rates decline every year, and Y5 residual is assumed at \$450K (~26% of equipment cost), not zero. The upside version: Phase 2 in Building 2 deploys then-current silicon on infrastructure this raise already paid for — power, fiber, cooling design, and tenant relationships carry over at zero marginal cost.

Q04 / CAN'T A HYPERSCALER JUST CRUSH YOU ON PRICE?

They're going the other way — AWS lists B200 at \$14.24/hr because their cost structure (metro land, retail power, enterprise sales) requires it. Our threat isn't hyperscalers; it's other small operators with cheap power. Our defense is that the cost stack is mostly owned: land at \$0, power at ~\$0.08/kWh, batteries at manufacturer cost, fiber locked for 60 months. A competitor must buy at retail what we already hold at cost.

Q05 / YOUR REVENUE IS 100% SIX TENANTS. WHAT'S THE REAL MARKET DEMAND BEHIND THEM?

The market check: B200 on-demand trades at a \$6.11–6.26/hr median across independent trackers this month, with spot prices up 114% in six weeks earlier this year on frontier-model demand. If every anchor vanished, the fallback is listing on marketplace aggregators at \$3.50–4.50 — which still covers operating costs 2× over at the midpoint. The anchors are the margin story, not the survival story.

Q06 / WHO ARE THE SIX ANCHOR TENANTS, AND HOW COMMITTED ARE THEY REALLY?

Identities and signed reservation agreements are in the data room under NDA. The commitment test is structural, not verbal: **no investor capital deploys until all six have signed 1-year agreements and prepaid Q1 (~\$296K total)**. A "taker" who won't prepay a quarter isn't an anchor, and the gate is designed to expose exactly that before your money moves.

Q07 / WHAT HAPPENS IF A TENANT DEFAULTS MID-YEAR?

Three layers: quarterly billing in advance (a defaulting tenant is never more than one quarter ahead of us), each tenant is $\leq 17\%$ of revenue, and freed capacity relists on marketplace aggregators within days. Worst case — one tenant gone, capacity re-rented at a distressed \$3.50 — annual profit drops ~\$44K, about 6%. Contracts include standard acceleration and setoff clauses (final form with counsel).

Q08 / WHY WOULD A TENANT RENEW IN YEAR 2 INSTEAD OF LEAVING FOR NEWER CHIPS?

They might not — which is why Year-2 rates are modeled ~10% lower and payback is evaluated over hardware life, not one renewal cycle. What favors renewal: migration cost (moving a production workload is weeks of engineering), the dedicated-fabric performance they've tuned for, and our pricing room — at \$4.05 in Y2 we still run a >50% margin, so we can meet the market and stay profitable.

Q09 / A SERVER DIES AT 2 AM. WHAT ACTUALLY HAPPENS?

32 physical GPUs back 30 contracted — **2 hot spares live outside all contracts**, so a single-GPU failure is a re-map, not an SLA breach. A full-server failure (8 GPUs) degrades 6 contracted units until repair; Supermicro/Dell next-business-day support is in the operating budget, and tenant SLAs will carry service credits sized to that window. Two staffed HPC engineers (\$240K budgeted) carry the pager.

Q10 / OKLAHOMA SUMMERS HIT 105°F. CAN ONE RETROFITTED BUILDING REALLY COOL 30 KW RACKS?

The \$150K HVAC line is engineered for ~30 tons of cooling with hot/cold-aisle containment against a ~110 kW total load — standard practice for this density, with headroom above the design day. The zPower battery bank also rides through utility sags without dropping loads. The honest caveat: HVAC is the line most likely to consume contingency, which is why \$260K of contingency exists and why the retrofit starts before servers ship.

Q11 / WHAT IF THE GRID GOES DOWN – OR DOBSON'S FIBER GETS CUT?

Power: zPower LFP + UPS carries the full IT load through outages long enough for orderly workload checkpointing; extended-outage generator backup is a Phase-2 add and is disclosed as such. Fiber: single-carrier is a real Year-1 limitation — mitigations are Dobson's enterprise SLA (being negotiated pre-signing), a wireless failover for management traffic, and a second carrier priced in Phase 2. Tenant SLAs will exclude carrier-side outages, as is standard.

Q12 / TWO ENGINEERS FOR A \$2M CLUSTER – ISN'T THAT THIN?

It's lean but honest — the previous draft said one, and the audit raised it. Thirty GPUs across four servers is a small fleet by HPC standards; the founder adds operating capacity at no salary load; and monitoring/orchestration software is budgeted in the \$40K line. The scaling trigger is defined: a third hire comes with Phase 2, funded by Phase-1 cash flow.

Q13 / WHAT EXACTLY AM I BUYING – EQUITY, DEBT, REVENUE SHARE?

The memorandum shows illustrative pro-rata economics; the binding structure (likely an LLC membership interest with quarterly distributions, or a note for the levered tranche) is finalized with securities counsel before any commitment. You will see final documents before signing — the illustrative numbers exist so you can judge the economics before paying lawyers.

Q14 / WHEN AND HOW DO I GET PAID?

Quarterly cash distributions from operating profit, first distribution after the first full revenue quarter (~month 7–8 from close, given the ~120-day build). Base case: ~34% of your capital back in Year 1, ~63% by end of Year 2. Quarterly reporting includes utilization, revenue by tenant, and cash position.

Q15 / HOW DO I EVER EXIT AN ILLIQUID SINGLE-SITE PROJECT?

Honestly: this is a hold-to-cash-flow investment, not a flip. Realistic liquidity paths, in order: (1) distributions themselves — most capital returns as cash within ~3 years; (2) sponsor or Phase-2 investor buyout at a modeled multiple; (3) sale of the operating business with contracts attached — cash-flowing GPU clusters with tenant contracts are currently acquisition targets for consolidators. What we won't promise: a secondary market that doesn't exist.

Q16 / WHAT IS THE SPONSOR PUTTING IN, AND WHAT DOES THE SPONSOR TAKE OUT?

In: the site, three buildings, the 3 MVA transformer, 30 acres, the 60-month fiber contract, z1Power hardware at manufacturer cost (~\$200K forgone margin), personal operating time, and the founder's salary is **not** in the budget. Out: the sponsor share of distributions per the final structure, disclosed in the term sheet before you commit. No management fees, no acquisition fees, no markup on z1Power equipment.

Q17 / WHAT IF THE BUILD RUNS OVER THE \$260K CONTINGENCY?

The overrun categories that kill data-center builds — land, interconnection, core-and-shell — don't exist here because the assets exist. Residual overrun risk is HVAC and electrical, capped by fixed-price contractor bids before close (a Gate-O item). If something truly exceptional exceeds contingency, the sponsor bridge-funds rather than dilutes — put it in the term sheet.

Q18 / ISN'T THIS ENTIRELY DEPENDENT ON ONE PERSON (YASIR / THE SPONSOR)?

Year 1, substantially yes — that's true of every founder-operated project and we won't pretend otherwise. Mitigations: two salaried engineers run daily operations independently of the sponsor; contracts, fiber, and site sit in the project entity, not a person; key-man insurance is priced into the \$40K insurance line; and documentation of runbooks is a funded deliverable of the first 90 days.

Q19 / WHY IS THE SPONSOR RAISING OUTSIDE MONEY AT ALL IF THE RETURNS ARE THIS GOOD?

Fair question — the honest answer is speed and concentration. The sponsor's capital is in the site, zlPower inventory, and the operating commitment; financing \$2M of hardware personally means either debt against the batteries business or an 18-month savings delay while B200 economics decay. Outside capital buys the compute now, while Year-1 rates are contractible at \$4.50. Investors who want the sponsor to have more skin can take the levered tranche — the sponsor personally supports the debt.

Q20 / WHAT KILLS THIS DEAL? GIVE ME THE BEAR CASE STRAIGHT.

Three things, in order of danger: **(1) Renewal-cycle rate collapse** — if B200 reserved rates fall below ~\$2.00/hr by Year 2 renewals, margins thin toward break-even on operations (still cash-positive above ~\$1.90). **(2) Multi-tenant churn into a soft market** — two-plus anchors leaving simultaneously while marketplace rates sit at the bottom of the range. **(3) A build failure that outruns contingency + sponsor bridge**. What doesn't kill it: single-tenant default, single-server failure, one bad negotiation, or fiber slipping a month — each is absorbed by design. You're pricing the probability of (1)–(3) against a 34% Year-1 cash yield and 100% contracted revenue. That's the actual bet.

[VERIFY, DON'T TRUST]

Everything above is checkable in an afternoon: six signed reservation agreements, prepayment escrow, the Dobson quote, land title, transformer nameplate, zlPower cost invoices, and the live model workbook. The data room exists so you never have to take our word for a number.

[STILL HAVE A QUESTION?]

Ask it before you commit — an investor who stress-tests this deal is doing us a favor. Questions we can't answer well are questions we haven't de-risked yet, and we'd rather find them now than in Year 2.

REQUEST THE DATA ROOM →

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